

Rotaract Club of Lekhnath

Financial Guideline

Article 1- Name & Definitions

1. The name of this guideline shall be “Rotaract Club of Lekhnath Financial Guideline 2025-26”
2. Definitions if not stated otherwise:
 - a) Budget: A financial plan for a defined period of time, usually a year, having an estimate of costs, revenues, and resources.
 - b) Board: Rotaract Club of Lekhnath Board of Directors.
 - c) Variance: Difference between the budgeted amount of expense or revenue, and the actual amount.
 - d) Appropriate/Appropriation: Legal authorization to spend a specific amount of money for a stated purpose.
 - e) Donor: Any person/ organization which provides financial resources to the club other than the club member.
 - f) Cash Basis: Method of recording accounting transactions for revenue and expenses only when the corresponding cash is received or payments are made.
 - g) Accrual Basis: Method of recording accounting transactions for revenue and expenses even if the corresponding cash has not been received or payments has not been made.
 - h) Contingent Liabilities: An amount that may be due depending on future events.
 - i) Petty Cash: a small amount of cash on hand used for expenditures where it is not sensible to make any disbursement by cheque.

Article 2-Budget & Appropriation

3. A budget should be prepared by the upcoming treasurer & president and presented to the club meeting by May. For this, treasurer should consider the previous presented budget and the actual financial statement of the club.
4. In relation to clause 3, the treasurer and president should revise the budget if any comments are collected from the meeting and get it approved by June.
5. In concern with the donor projects, the finance committee with the approval of board and the club shall prepare and implement the budget at any time.
6. If variance occurs in any headings of the approved budget then the amount may be appropriated from the account head where the amount is in excess. The treasurer can appropriate up to 20% of the approved budget head and will need approval from the board for the amount greater than 20 %.
7. In relation to the donor funded projects the appropriation might be done with the written approval of the donor.

Article 3-Accounting Provisions

8. Club's auditing provision policy and accounting shall be according to established norms, procedure, practice, process and criteria established by the club. Accounts of the projects funded by the donor parties shall be kept according to their requirements.
9. Club's income and expense details will be kept according to "Cash Basis" system.
10. "Accrual Basis" system will be used in the case of income where the amount is not received but the agreed fund has already been approved by the donor after receiving bills and report. Same for the case of expense if bills or agreement has been received but due to circumstances payment has not been done.
11. Claimed expense amount which is not definite will be kept as contingent liabilities.
12. Lending & Borrowing activities is discouraged
 - a) Club will not lend any amount under any circumstances. If club has lent money to anyone before this guidelines comes to an effect then that amount should be collected within one month.
 - b) If money is to be borrowed by the club due to special circumstances then finance committee should take approval from the board.
 - c) If the money is lent without the approval of board then the finance committee chair/treasurer or the responsible officer will be liable to pay the amount.
13. Club financial management will be in line with the laws and banking regulations of the country.
14. Club shall manage following two accounts for the smooth operation of the club:
 - a) Club Administration
 - b) Project Administration.
15. The finance committee should keep record of any physical assets of the club and update it every year.
16. Finance committee should prepare and present the financial report every three months and get the whole year account approved by the board and the club regular meeting as soon as possible after the end of Rotary year. Finance committee & board should encourage members to check/audit the accounts including the bills in detail as part of participation in financial accountability.
17. Club account closing will be done once a year at the end of June. The account of projects funded by the donor will be closed according to the agreement.
18. Club accounts should be audited by a qualified person as soon as possible after the end of the Rotary year and present the report to the club.

Article 4- Provisions Related to Cash and Bank Transaction

19. Board can open bank accounts as per need for club transaction after consulting with the finance committee. Board can also open bank accounts for separate transaction of projects funded by donors if deemed necessary.
20. In relation to clause 19, the signatories of the bank account will be the president and the treasurer jointly or other officers decided by the board.
21. Any advance money given to member in relation to club activities and projects must be approved by the president.
22. In relation to clause 21, the member should submit the financial details and clear the account within one month after the completion date.
23. Finance Committee can operate a petty cash fund with the approval of the president.
24. In relation to clause 23, maximum NRs. 1,500/- at one time can be disbursed to the approved member.
25. In relation to clause 24, the member to whom the fund is disbursed should submit the expense details every month which needs to be approved by the treasurer.
26. In relation to clause 25, the finance committee should settle the account immediately after the expense details is submitted but if the details are not submitted before the one month then it needs to settle it immediately after the one month time ends.

Article-5 Disbursement Plan after Dissolution

27. Upon termination of club the available fund after clearing all the liabilities will be donated to the Rotary Foundation.

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